

ACTIVITY REPORT FOR 2023

Approved at the meeting of June 6, 2024

INDEX

Index	2
Acronyms and Abbreviations	3
1. MESSAGE FROM THE PRESIDENT	4
2. GUIDING AND AWARENESS RAISING ACTIVITY	12
3. PROCEDURAL ACTIVITY	20
PROCESSES	22
a) Consultative processes	23
b) Deliberative processes	24
DECISIONS	31
4. EXTRAPROCEDURAL ACTIVITY	38
DIGITAL COUNTER	38
DATA PROTECTION OFFICERS	39
COORDINATED SUPERVISION ACTION ON DATA PROTECTION OFFICERS	40
5. INTERNATIONAL ACTIVITY	41
6. INSTITUTIONAL COOPERATION ACTIVITY	45
7. ORGANIZATION AND OPERATION	47
SYSTEMS AND INFRASTRUCTURES	47
HUMAN RESOURCES	48
a) Training	51
b) Budget	51

Acronyms and Abbreviations

AEPD (Spain) – Spanish Agency for Data Protection
AEPD (Europe) – European Data Protection Authority
ANPD – National Data Protection Agency of Brazil
ANPDP – National Data Protection Agency of São Tomé and Príncipe
APD – Data Protection Agency of Angola
CEPD - European Committee for Data Protection
CIS - Customs Information System
CNPDP-CV – National Commission for Data Protection of Cape Verde
CNPDP – National Commission for Data Protection of Portugal
CNCS – National Cybersecurity Center (CNCS)
CSC – Coordinated Supervision Committee
DB – Data Breach
ECRIS-TCN - European Criminal Records Information System — information on convictions of nationals of third countries
EDPB – European Data Protection Board
EDPS – European Data Protection Supervisor
EES - Entry/Exit System
EPPO – European Public Prosecutor Office
ETIAS - European Travel Information and Authorization System
GPA – Global Privacy Assembly
IMI - Internal Market Information System
INA – National Institute of Administration, I.P.
IPQ – Portuguese Institute of Quality, I.P.
LOF of CNPD – Law on the Organization and Operation of the National Commission for Data Protection, approved by Law No. 43/2004, of August 18, as amended
LPCE – Law on Personal Data and Privacy in Electronic Communications, approved by Law No.

41/2004, of August 18, as amended

RIPD – Ibero-American Network for Data Protection

RGPD – Regulation (EU) 2016/679 of the European Parliament and of the Council, of April 27, 2016, also referred to as the General Data Protection Regulation

SIS – Schengen Information System

EU – European Union

VIS - Visa Information System

4/51

1. MESSAGE FROM THE PRESIDENT

This Activity Report aims to comply with the Law on the Organization and Functioning of the National Data Protection Commission, approved by Law No. 43/2004, of August 18, as currently amended (Law on the Organization and Functioning of the CNPD), and is structured into 6 chapters: guiding and awareness-raising activities; procedural activities; extraprocedural activities; international activities; institutional cooperation activities; organization and functioning.

1. The National Data Protection Commission (CNPD) is the National Supervisory Authority for the purposes of Regulation (EU) 2016/679, of the European Parliament and of the Council, of April 27, 2016, also referred to as the General Data Protection Regulation (GDPR), Law No. 58/2019, of August 8, which implements the GDPR in the internal legal order (GDPR Implementation Law, or Law No. 58/2019), and the Law on the Organization and Functioning of the National Data Protection Commission, approved by Law No. 43/2004, of August 18, as currently amended (Law on the Organization and Functioning of the CNPD). In this capacity, it is responsible for controlling and supervising the application of the GDPR and compliance with these regulations, as well as other legal and regulatory provisions regarding the protection of personal data, in order to defend the rights, freedoms, and guarantees of individuals in the context of personal data processing (cf. paragraph 1 of article 51, and paragraph 1 of article 57/1 of the GDPR, article 3, and paragraph 2 of article 4, both of Law No. 58/2019, and paragraphs 2 and 3 of article 2 of the Law on the Organization and Functioning of the CNPD).

To pursue its mission, the CNPD is entrusted with a wide range of legal responsibilities, as provided for in articles 57 of the GDPR and 6 of Law No. 58/2019, and in various other standalone legislation, possessing advisory, authorization, regulatory, inspection, oversight, investigative, corrective, and sanctioning powers (cf. article 58 of the GDPR), also acting in the dissemination of information and issuance of Guidelines, and contributing to the strengthening of national and international cooperation, especially in cooperation with its European counterparts (mutual assistance and joint operations, cf. article 61 of the GDPR),

5/51

ensuring coherence through the procedure for the control of the coherent application of the GDPR in the European Union (cf. articles 64 and 65 of the GDPR) and the urgent procedure (cf. articles 66 and 67 of the GDPR).

The CNPD also has the responsibilities and legal competences provided for in the Law on Personal Data and Privacy in Electronic Communications, approved by Law No. 41/2004, of August 18, as currently amended (LPCE), in the communications sector, for the purposes of the provisions of EU law and national legislation, as established in the LOF of the CNPD.

The CNPD is an independent administrative entity, with legal personality under public law and authority powers, endowed with administrative and financial autonomy, functioning alongside the Assembly of the Republic (cf. paragraph 1 of article 51 of the GDPR, paragraph 1 of article 2 of the Law on the Organization and Functioning of the CNPD, and paragraph 1 of article 4 of Law No. 58/2019), and is not subject to governmental supervision or tutelage.

In pursuing its responsibilities and exercising the powers conferred upon it by law, the CNPD acts with total independence, is not subject to external influences, and refrains from taking any action

incompatible with its functions (cf. paragraph 1 of article 52 of the GDPR, paragraph 4 of article 2 of the Law on the Organization and Functioning of the CNPD, and paragraph 3 of article 4 of Law No. 58/2019). It should be emphasized that the Members of the CNPD are not subject to external influences in the exercise of their functions, do not request or receive instructions from others, refrain from any action incompatible with their functions, and, during their term, may not engage in any activity, paid or unpaid, that is incompatible with them (cf. paragraphs 2 and 3 of article 52 of the GDPR, and article 5 of Law No. 58/2019).

2. In 2023, the change in the composition of the CNPD is highlighted, as a collegiate body composed of 7 (seven) Members, through the inauguration, on May 11, 2023, of Professor Doctor Paula Meira Lourenço, as President of the CNPD (replacing the former President Professor Doctor Filipa Calvão), and Master José Vegar Velho, as a Member of the CNPD (in 6/51

substitution of the previous Member, José Grazina Machado), both elected by the Assembly of the Republic, for a term of 5 years, renewable twice (cf. paragraph 2 of article 3 of the Law on the Organization and Functioning of the CNPD).

3. In July 2023, the CNPD approved, for the first time in its history, a Multiannual Activity Plan for the triennium 2024-2026 (a situation highlighted in a recent European publication regarding European Authorities), following the promotion of a public consultation, with the purpose of gathering the opinions of all interested parties, data subjects, public and private organizations, in their capacity as data controllers and processors, and data protection officers, both regarding its draft Multiannual Activity Plan for the triennium 2024-2026 and concerning the strategic actions to be pursued in the CNPD's Activity Plan for the year 2024. The relevance of these public consultations is emphasized in promoting the participation of stakeholders in the CNPD's mission to defend the fundamental rights of citizens and in increasing transparency in the exercise of its activity as an Independent Administrative Entity.

From the Multiannual Activity Plan for the triennium 2024-2026, it is highlighted that the 1st strategic objective involves strengthening the protection of citizens' personal data, ensuring greater public awareness of the mission of the National Data Protection Commission and the rights of data subjects, continuing to elevate the Commission's action as a structuring element of the trust of data subjects and data controllers, using strategic communication and new digital tools.

The 2nd strategic objective of the CNPD is to ensure an increase in the capacity for strategic observation of the risks and opportunities posed by the acceleration of technological innovation and security, of emerging practices and processes, through greater acquisition and deepening of knowledge in the technological domain and innovation characteristic of the Digital Age, promoting a regulatory framework that prevents and sanctions bad practices, in permanent dialogue with academic, scientific, and business communities.

7/51

And the 3rd strategic objective of the CNPD aims to reinforce and strengthen the regulation of personal data in Portugal, through collaborative mechanisms and cooperation with relevant national and international entities in addressing the increase of knowledge and capacity for action, promoting a culture of dialogue and transparency, sharing information and knowledge, with a view to promoting the efficiency of means and resources indispensable to the pursuit of its activity as the National Data Protection and Control Authority, respecting its independence, autonomy, and impartiality.

4. In the scope of the activity developed by the CNPD during the year 2023, it is noteworthy that 2,656 cases were opened, of which 1,818 were investigation cases, representing an increase of about 2% compared to the previous year. In its advisory activity, there was a 15% increase in the number of Opinions issued by the CNPD compared to the previous year (107 in 2023, compared to 93 in 2022). In the year 2023, within the scope of its sanctioning action, the CNPD applied the highest number of fines in administrative offense processes that it has ever applied: 90 fines, amounting to nearly 560 thousand euros (mainly concerning cases of marketing communications in violation of legal rules

(spam) and for violations of the GDPR), and issued 253 warnings.

In the close connection between personal data protection and Cybersecurity, it is also noteworthy that, in the last 3 years, the CNPD recorded a 36% increase in data breaches: in 2021, we received 453 reports, in 2022 we had 560, and in 2023 there were 618 reports, with 409 cases opened in 2023 (of these, 303 came from private entities and 106 from public entities). In the cases of personal data breaches, 197 decisions were adopted, with the CNPD making specific recommendations in all of them for organizations to improve the level of security of their data processing, through the adoption of measures appropriate to the specific situation.

8/51

In the context of inspection and investigation activities, the inspection carried out on the collection of biometric data by the WorldCoin Foundation stands out, relating to a large-scale processing of biometric data that consisted, namely, of the operation of collecting images of individuals' irises, eyes, and faces, and their subsequent processing for various purposes, among which the creation of a digital identity proof is particularly notable, with the provision of this biometric data by citizens being an indispensable condition for them to receive a certain amount in cryptocurrency. This inspection culminated in the issuance of an order to the WorldCoin Foundation to temporarily limit the processing of biometric data concerning the operation of collecting iris, eye, and face data, within the national territory (Continental Portugal, Autonomous Region of Madeira, and Autonomous Region of the Azores), for a period of 90 (ninety) days (provisional measure by the CNPD taken in March 2024).

5. A special note regarding national and international institutional cooperation. Thus, in 2023, we highlight the first inspection carried out in Portugal, at the Office of the Portuguese European Delegated Prosecutor, within the scope of a joint action by the CNPD with the European Data Protection Authority (EDPA), to verify the processing of personal data in the European Public Prosecutor's Office, with the CNPD's selection being due to the recognized experience acquired in overseeing national criminal investigation systems and its fundamental mission over several years in the supervisory bodies of European information systems, namely in the Schengen systems, Europol, and Eurojust. In 2023, the CNPD strengthened its national cooperation with the National Cybersecurity Center, the Directorate-General for Consumers, the National Institute of Administration, I.P., and the Portuguese Institute of Quality.

9/51

Within the framework of international cooperation, emphasis is placed on participation in the work of the important European Committee for Data Protection (ECPD), namely, in the monthly meetings, in various expert groups and working groups, especially the new task force related to generative artificial intelligence, as well as in the Coordinated Supervision Committee (CSC), which is chaired by the representative of the CNPD, a position to which she was elected. Coordinated supervision combines the national plan with the European plan, ensuring that the national parts of European systems and the data transmissions from Member States to their central system comply with the data protection rules specifically established in the respective legal instruments that regulate the functioning of those systems, in addition to the standards contained in the general data protection regime provided, as applicable, in the GDPR or in Directive (EU) 2016/680 and the national laws that transpose them. This is because both the National Data Protection Authority (AEPD), for the central system, and the National Data Protection Authorities regarding their Member State, each within the scope of their competencies, ensure that European information systems are controlled in a global and coherent manner.

At the international level, the CNPD's participation in the Global Privacy Assembly (GPA) is also noteworthy, both in its Annual Conference and through the established working groups that operate throughout the year; in the Ibero-American Data Protection Network (RIPD), of which it is a founding member, and which celebrated its 20th anniversary in 2023; and the resumption of the Iberian Meetings of Data Protection Authorities in November 2023, with the CNPD also attending the celebration of the 30th anniversary of the Spanish Data Protection Agency (AEPD) at the end of 2023.

Furthermore, the strengthening of regular contacts between the CNPD and the Data Protection Authorities of Portuguese-speaking countries is highlighted, especially the National Data Protection Agency of São Tomé and Príncipe (ANPDP), the Data Protection Agency of Angola (APD), the National Data Protection Authority of Brazil (ANPD), and the National Data Protection Commission of Cape Verde (CNPDCV).

10/51

6. The final word is one of gratitude to the 29 workers of the CNPD who, honoring the mission of public service and with immense selflessness, have managed to achieve the results outlined in this Report, despite the services being organized in the same way since 2004 (the year of the approval of the first Law on the Organization and Functioning of the CNPD - Law No. 43/2004, of August 18), in a vertically hierarchical structure that does not allow for improvements in response to current challenges, primarily due to the absence of management positions by Organic Unit and, consequently, because it is impossible to delegate competencies (either from the collegiate body or from the President) to these management positions (which do not exist, let it be repeated), thus witnessing the inevitable congestion of the functioning at the top.

Thus, as I mentioned on May 11, 2023, in my inauguration speech as President of the CNPD, it is essential to implement a reorganization of the internal functioning of the CNPD, accompanied by the respective legislative amendment proposal, which allows for the modernization, streamlining of procedures, and increased efficiency of the CNPD's functioning, generating a swift response to sovereign bodies, citizens, and public and private entities that daily approach the CNPD, enabling a performance of its mission appropriate to the current challenges faced in data management and protection, with the opening of recruitment procedures for Directors for the Organic Units of the CNPD, as well as for technicians/consultants who can ensure the rejuvenation that is necessary in an Authority where the majority of workers are aged 50 or older, and where 75.8% are concentrated in the age bracket of 45 to 64 years.

The year 2023 was utilized for the CNPD to conduct a rigorous and participatory diagnosis of the needs in terms of organic structure, functionality, and human resources, aiming to have a more modern, agile, and attractive organization.

12/51

2. GUIDING AND AWARENESS-RAISING ACTIVITY

For the year 2023, the CNPD planned to strengthen its awareness-raising action, selecting the development of guidelines and directives aimed at organizations, as they are responsible for the processing of personal data and subcontractors, which are, concurrently, the provision of information to data subjects.

The CNPD dedicated itself to the development of guidelines specifically focused on the processing of personal data that have had a greater impact on the rights of data subjects in Portugal. The criterion for selecting the topics to be addressed was based both on specific events for which the CNPD was called to intervene and on the recurrence of questions raised by citizens for the defense of their rights and by organizations.

It was in this context that the CNPD identified the need to issue guidelines for the area of security in the processing of personal data, thus resulting in Guideline/2023/1. It is publicly known that, in the year 2022, numerous cyberattacks occurred that had a direct impact on the personal data processed in information systems of public and private organizations, some of which were of significant size and complexity, affecting the core activities of the organizations.

In analyzing these violations, it was found that the main vectors of attack were the exploitation of vulnerabilities in infrastructures and the lack of training for users to detect phishing campaigns that subsequently allowed for the distribution of malware, with particular relevance to ransomware attacks. It was concluded, therefore, that the lack of awareness among those responsible for processing regarding the risks to the rights of data subjects that the lack of investment in security mechanisms

entails is the primary cause of these attacks. In fact, it was observed that, in the vast majority of attacks witnessed, the consequences for the rights of data subjects could have been substantially reduced, if not entirely avoided.

13/51

The Guideline/2023/1 presents, therefore, a set of technical and organizational measures necessary to ensure that the processing of personal data has a level of security appropriate to the risk, including the ability to guarantee the confidentiality, integrity, availability, and resilience of the processing systems and services, measures that, naturally, must be appropriate to the characteristics and sensitivity of each personal data processing and to the specificities of the particular organization.

Doubts regarding the exercise of the functions of Data Protection Officer (DPO) in public entities have also been identified as recurring, which, not having been regulated by the legislator, raise numerous questions for organizations and the DPOs themselves. First of all, the issue of the accumulation of functions with those of the person responsible for access to information (RAI) and also the matter related to the performance evaluation of the worker who is performing the function of DPO.

Regarding the first issue, the CNPD approved, on April 11, 2023, a Guidance in which it clarifies that since the functions of the DPO are of a consultative and supervisory nature regarding the processing of personal data carried out within the organization, they cannot be performed in accumulation if they imply decision-making on specific operations of personal data processing, under penalty of having to monitor oneself, in manifest conflict of interest. Now, because the functions of the RAI imply decision-making regarding access to administrative documents, which may correspond to documents containing personal data, they are subject to control and audit by the DPO. Thus, the CNPD concluded that the accumulation of DPO/RAI functions is incompatible.

Still in the context of the doubts presented to the CNPD, the availability of personal data within administrative procedures arises in situations where the applicant participated in the procedure and in situations where they are a third party in relation to the procedure.

14/51

Thus, on April 11, 2023, a resolution was approved that constitutes the guidance regarding the availability of personal data processed within administrative procedures, in which it clarifies the applicable legal regime and enumerates the data protection obligations that fall on the data controller.

On the same date, a resolution was approved in which the obligations that fall on the subcontractor regarding access to personal data were clarified, which was published as guidance on access to personal data held by a public entity in the capacity of a subcontractor.

A situation was also identified that raises questions of high complexity due to the lack of regulation of the status of workers performing that function: the performance evaluation of DPOs. Thus, the CNPD considered it appropriate to define guidelines on the performance evaluation of a worker who is a DPO, having adopted on April 18, 2023, a DRAFT GUIDELINE on the performance evaluation of the DPO. Although the guideline particularly aims at the performance evaluation of public administration workers, the underlying logic can still be extended to the evaluation of workers in private organizations.

To frame the problem, it is important to recall that the DPO cannot receive instructions regarding the exercise of their functions, nor can they be dismissed or penalized for that exercise and can only report to the highest leader of the organization in which they are integrated. The complexity of the issue increases when there is an accumulation of other labor functions with the functions of the data protection officer.

This project was placed in public consultation that ended on June 9, 2023, having received eight contributions, including that of an association representing DPOs.

15/51

Meanwhile, the revision of the Integrated System for Management and Performance Evaluation in Public Administration was announced, with the adoption of the final resolution awaiting legislative

changes, expecting that the identified problems would be resolved, even if partially, through this means. Decree-Law No. 12/2024, of January 10, provided for the amendment of the evaluation regime, however, it was silent regarding the evaluation of the EPD.

The matter concerning the availability of personal data on the Internet is a recurring issue that generates a significant number of complaints from the affected data subjects.

For this reason, on April 18, 2023, two resolutions were approved:

- one consisting of the Guidance on the transmission of meetings of municipal bodies on the Internet, which explains the risks of exposure and improper reuse of images and statements made by citizens in this context and that, in the absence of a legal provision specifically foreseeing this data processing, nor a legal provision recognizing local authorities a specific function of media dissemination of their usual plenary activities, the prior and express consent of all persons covered by the filming and transmission appears as the only condition capable of legitimizing the aforementioned data processing;
- and another that gave rise to the Guidance on the publication on the Internet of the minutes of meetings of collegiate bodies, reconciling the requirements of administrative transparency and the protection of fundamental rights to respect for private life, non-discrimination, and the protection of personal data in light of the principle of proportionality. It is noted that there was no follow-up on the implementation of the European information system for recording entries and exits of nationals from third countries (EES), as well as the new Schengen Information System (SIS), due to the postponement determined by the European Union.

16/51

But the awareness-raising action is not limited to the issuance of guidelines and orientations, as participation with interventions in conferences, seminars, colloquia, and other public events has added relevance, as it constitutes a means to reach distinct target audiences and address specific issues in the field of data protection and privacy. Thus, the following interventions deserve mention:

- “Data Protection and the Judiciary,” within the framework of the International Webinar GDPR and the Judiciary: Challenges to Data Protection, which took place at the Supreme Court of Justice on February 2;
- “Personal Data versus Open Data – where to position the physical and environmental identification of the building?” at the event Environmental Passport of the building – Contribution of electronic land registration to digital transition, jointly organized by the Legal Institute of the Faculty of Law of the University of Coimbra and the Institute of Registries and Notaries, I.P., which took place at the University of Coimbra on February 17;
- “Big Data and Transparency: What space for the autonomy of will?” at the International Congress on Big Data and Data Protection, which took place at the University of A Coruña, Spain, on May 5;
- “Privacy Cybersecurity,” organized by the Higher Institute of Engineering of Porto, took place in Porto on May 26;
- “Data Protection and Artificial Intelligence” at the colloquium “Artificial Intelligence: from Market to Supervision,” organized by the National Council of Financial Supervisors, which took place at the Money Museum on May 29;

17/51

- “The Regulation of Personal Data,” within the framework of the XVI Postgraduate Course in Competition and Regulation 2022/2023, organized by the Institute of Economic, Financial and Tax Law (IDEFF), of the Faculty of Law of the University of Lisbon, on July 20, 2023;
- “The new challenges of the CNPD,” at the V Advanced Postgraduate Course in Data Protection Law, organized by the Private Law Research Center (CIDP), of the Faculty of Law of the University of Lisbon, which took place on October 11;

- “Human rights and access to new forms of administration,” intervention within the framework of the Human Rights Capacity Building Program for Public Administration, organized by INA – National Institute of Administration, I.P., on October 17;
- Conference “Digitalization and Modernization of Public Administration,” organized by APDSI – Association for the Promotion and Development of the Information Society, which took place at the Higher Institute of Social and Political Sciences of the University of Lisbon on October 26;
- Closing Session of the Seminar dedicated to the theme “The maturity of the GDPR in health institutions,” organized by the National Institute of Medical Emergency (INEM), by the Lisbon North Hospital Center, by the Western Lisbon Hospital Center, and by the Portuguese Institute of Oncology of Lisbon Francisco Gentil (IPO), which took place at the Auditorium of the Hospital of São Francisco Xavier on November 24.

Active dissemination on the CNPD's website of the most recent jurisprudence of the Court of Justice of the European Union (CJEU) regarding the right to the protection of personal data and privacy was also considered a priority in 2023. There, the judgments resulting from requests for preliminary rulings presented by the national courts of the Member States, pursuant to Article 267 of the Treaty on the Functioning of the European Union, are available.

18/51

European, as well as decisions from the CJEU in other types of proceedings, as long as they are relevant for the guarantee of fundamental rights to private life and the protection of personal data, enshrined, respectively, in Articles 7 and 8 of the Charter of Fundamental Rights of the European Union. The identification of the judgments is accompanied by descriptions, through keywords (tags), regarding the context and content of the decisions to facilitate the understanding of the issues addressed, and a hyperlink is provided to the texts of the decisions in Portuguese, available on the CJEU's own website.

The celebration of Data Protection Day also constitutes a moment for the dissemination of data protection. January 28 corresponds to the date of the signing, within the Council of Europe, of the first international legal instrument on data protection – Convention 108. The symbolism of the date, which was the origin of the creation of the European Data Protection Day, has reached an international dimension that transcends borders, being marked on all continents.

In 2023, the CNPD joined the European Data Protection Committee in celebrating this day with a video that shows how the data protection authorities of the European Economic Area, including the CNPD, cooperate with each other in defending the fundamental rights to data protection and privacy.

In the scope of its guidance functions, some of the planned tasks were not completed.

Firstly, the approval of the Directive on cookies was pending as the European Data Protection Committee (EDPC) was conducting an analysis of these data processing activities, culminating in the Guidelines 2/2023 on Technical Scope of Art. 5(3) of the ePrivacy Directive, which were only approved in November 2023 and put out for public consultation, which only ended in January 2024. Although these guidelines are not binding for National Authorities, some harmonization in the European space regarding the respective legal regime is considered relevant.

19/51

Similarly, the intention to develop a set of practical guidelines concerning children and young people, whether directed at those responsible for the processing or to raise awareness among children and young people, in a format and language suitable for this target audience, particularly through tutorial videos, for the protection of their personal data in the context of internet browsing, was not achieved. However, the promotion of the protection of particularly vulnerable groups, such as children and young people who increasingly interact on the Internet, was the subject of various interventions, both at the national level and in cooperation with European and international data protection authorities.

The provision of tools that would allow for raising awareness among those responsible for the

processing and promoting solutions capable of ensuring that workers detect remote surveillance mechanisms, especially including in the context of teleworking, was also not realized.

Finally, it is noted that the CNPD was present on May 30 at a parliamentary hearing promoted by the Committee on Public Administration, Land Use Planning, and Power, particularly commenting on Draft Law No. 598/XV/1 (IL) and Draft Law No. 621/XV/1 (L), whose consideration in detail was being conducted in that parliamentary committee. The draft bills concerned the holding of public sessions and meetings of local authorities and intermunicipal entities through remote communication means, as well as their transmission and dissemination on social networks.

20/51

3. PROCEDURAL ACTIVITY

Procedural activity continues to consume a large part of the CNPD's resources, with a significant weight on investigation processes. Here, the analysis of technological innovations regarding the processing of biometric data for the purpose of creating a World ID stands out.

Also, prior control processes deserve special mention, not for their quantity, but for the high complexity, both technical and legal, that they present. In fact, these processes are presented to the CNPD when the controller, after studying, within the scope of a comprehensive impact assessment of the risks to data protection that a processing activity presents and the adoption of measures that eliminate or at least mitigate those risks, concludes that the impact on the rights, freedoms, and guarantees of the data subjects is still high. In these cases, the intervention of the CNPD is required to analyze the situation and provide guidance on the measures to be adopted to mitigate the risks presented by the processing.

However, the year 2023 was particularly marked by the European Commission's evaluation of the national parts of the European information systems Schengen (SIS II) and Visas (VIS), for which in the previous year the CNPD had already conducted 19 inspection actions on the entities with competence in the area, which included the GNR and PSP, the Ministry of Foreign Affairs, the Immigration and Borders Service, the Maritime Police, the SIRENE Office, and the Secretary-General of the Internal Security System.

The CNPD coordinated the entire evaluation visit to the various entities, having accompanied, at the suggestion of the European Commission, the team of evaluating experts regarding the data protection module. This evaluation focuses on verifying compliance with the SIS and VIS legal framework regarding data protection in Portugal.

21/51

The CNPD itself, as the national supervisory authority for these systems, was also subject to evaluation by the team of experts. Portugal is still awaiting the report of this evaluation, which is the responsibility of the European Commission.

All of this required the exclusive dedication, for considerable periods of time, of qualified workers from the CNPD.

The mechanism for ensuring consistency and cooperation among national data protection authorities of the Union for the handling of cross-border cases, as provided for in the GDPR, constitutes an aspect of the procedural activity of the CNPD that consumes significant resources. This is manifested both in the issuance of opinions when the CNPD acts as an interested supervisory authority, and in the investigation and decision-making on cases referred to us by counterpart authorities, in which the CNPD acts as the lead supervisory authority, within the context of the single-window mechanism.

It is also noteworthy that cross-border cooperation has another component, of a non-decisional nature, regarding requests for mutual assistance, informal consultations, and joint investigative operations, which entail a significant increase in workload. The uniform application of the GDPR necessitates this.

22/51

PROCESSES

In total, 2,656 processes were opened during the year 2023, which corresponds almost to the number of processes opened in the previous year, which may indicate a trend towards stabilization, although it is still premature to draw conclusions from this fact.

fig. 1 – OPEN PROCESSES

23/51

a) Advisory Processes

Regarding the advisory function of the CNPD, in 2022, 107 opinion processes were opened, representing an increase of about 15% compared to the previous year.

fig. 2 - REQUESTS FOR OPINION

These involve requests for opinions within the scope of legislative procedures (45), normative procedures (59), and administrative act procedures (3), noting that most opinion processes continue to focus on draft regulations and administrative protocols.

It is clarified that these processes are opened under the requirement for prior consultation provided for in the GDPR and in the national implementing law or Law No. 59/2019, of August 8, regarding the processing of personal data by competent authorities for the purposes of preventing, detecting, investigating, and prosecuting criminal offenses and for the enforcement of criminal sanctions; others are issued under special legislation, within the scope of procedures directed at the issuance of authorization acts, such as the opinions requested by the Ministry of Internal Administration regarding video surveillance in public spaces for common use.

1 Under Law No. 95/2021, of December 29.

24/51

The increasing number of opinions, some of which are of very high complexity—involving not only legal assessment but also technological expertise—demands a strengthening of qualified resources dedicated to this function, which has so far been met, with effort, by the technicians of the CNPD (who have many other tasks) and by Members of the Commission.

Regarding cross-border cases, 14 cooperation processes were opened, which corresponds to a significant decrease. In this type of process, the CNPD, as an interested authority, issues opinions on draft decisions submitted by counterpart data protection authorities, expressing agreement with the presented drafts or raising pertinent and substantiated objections, in accordance with Article 60 of the GDPR. Some of these processes are also subject to a second evaluation and, consequently, a second opinion whenever a revised draft decision is presented by the lead supervisory authority, taking into account the position expressed by the other interested authorities.

b) Deliberative Processes

i. Investigation Processes

Also concerning the procedural activity of the CNPD, during the year 2023, it is noteworthy that 1,818 investigation processes were opened, representing a slight increase of about 2%. However, the trend of increasing processes initiated following complaints from citizens or their representatives continues, in addition to those initiated following reports from other authorities (such as ACT, ASAE, Social Security, the Public Prosecutor's Office, PSP, GNR) or on the CNPD's own initiative.

25/51

fig. 3 - OPEN INVESTIGATIONS

It is important to emphasize that the investigation processes concern situations not only covered by the GDPR but also by other legislation related to the protection of personal data, particularly in the electronic communications sector (here, a total of 619 processes) and in the criminal investigation

sector.

ii. Rights Guarantee Processes

In 2023, 67 rights guarantee processes were also opened, relating to the exercise of the rights of access and deletion, as well as the right exercised with search engines regarding the suppression of references from the results list when the search is made based on the name of an individual (de-listing).

Of these, 47 processes relate to the guarantee of rights within the scope of the Schengen Information System (SIS).

26/51

fig. 5 - EXERCISE OF SCHENGEN RIGHTS

The reason for the decrease in requests lies in the change of the applicable legal framework. Indeed, in 2023, three Regulations came into full effect, constituting the new legal framework for the processing of personal data in this large-scale information system of the Union.

In this new legal framework, individuals continue to have the right to access their personal data processed in the SIS, as well as the right to correct it if inaccurate or to delete it if processed unlawfully, but these rights are now exercised at the National SIRENE Office, and holders, if they disagree with the response, may lodge a complaint with the CNPD.

iii.

Processes of Personal Data Breaches

Regarding notifications of breaches (of security) of personal data, under Article 33 of the GDPR, and paragraph 2 of Article 3-A of Law No. 41/2004, amended by Law No. 41/2012, in 2023, 409 processes of personal data breaches (data breach) were opened. Of these, 303 originated from private entities and 106 from public entities.

27/51

fig. 6 - NOTIFICATIONS OF DATA BREACHES (DBN)

In the public sector, breaches notified in local administration (39) and central administration (20), regional administration (4) stand out. Noteworthy in the public sector are also breaches in higher education (23) and in the health sector (12).

Among companies and other private entities, the sectors of commerce and services (96) and banking and insurance (47) were those, as in the previous year, where the highest number of security incidents was recorded, now joined by the health sector (25).

The trend of growth in these notifications is confirmed, with a clear compromise of the principle of confidentiality of information, which occurred in 352 cases (an increase of 16% compared to the previous year).

Considering that personal data breaches can also cumulatively jeopardize the principle of integrity and the principle of availability, it was recorded that these principles were compromised in 78 cases and 80 cases, respectively.

2 These statistical data are based on statements made by the notifying organizations and not on verification by the CNPD through on-site inspection action.

28/51

Regarding the origin of the incidents, and taking into account that this information comes from the statements of the data controllers in the notifications to the CNPD and may fall short of reality, in 2023, human error (94) was highlighted, followed closely by ransomware (62), as the causes of a large part of the reported personal data breaches.

Also significantly contributing to the origin of incidents were application failures, whether at the design, implementation, and/or configuration level (36), social engineering schemes such as phishing (56),

and the exploitation of other vulnerabilities (85), with a decrease in fraudulent actions, such as the improper use of resources or identity theft (40) compared to what was reported in the previous year.

iv.

Inspections

In the context of deliberative processes, in 2023, 144 inspections were carried out by the CNPD Inspection Unit and also, within the framework of collaboration between the CNPD and security forces, by the PSP and GNR, most of which were at the premises of the data controllers.

fig. 4 - INSPECTION ACTIONS

29/51

Inspections were also conducted as planned in the 2023 Activity Plan, to verify the adoption of security and privacy measures from the design stage, in the subcontractors of companies providing essential services to the public.

It is noteworthy that a random verification was carried out regarding compliance with the warnings issued by the CNPD to the data controllers in situations of sound capture by video surveillance systems.

Also noteworthy is the first inspection of the Office of the Portuguese Delegated European Prosecutor, conducted as part of a joint action of the CNPD with the European Data Protection Authority (EDPA), to verify the processing of personal data in the European Public Prosecutor's Office. In this action, the EDPA verified the central system and the CNPD the national system. The choice of the CNPD stemmed from the recognized experience acquired in overseeing national criminal investigation systems and the relevant role it has played over the years in the supervisory bodies of European information systems, namely in the Schengen systems, Europol, and Eurojust.

A coordinated supervisory action was also carried out with European counterparts in the Schengen Area, inspecting the Schengen Information System to verify the conditions for creating indications for the purposes of discreet surveillance or specific controls, as provided for in Article 36 of the SIS II Decision.

Still within the framework of the Coordinated Supervision Committee, an inspection action was conducted at the national Europol unit, focusing on the processing of data concerning minors, in close collaboration with the EDPA.

Finally, special mention should be made of the inspection carried out on the collection of biometric data by the WorldCoin Foundation, due to the public impact that this collection of personal data has caused.

30/51

It should be noted that the failure to conduct the planned audits on the implementation process of the transition to the large-scale European information system for the entry and exit of third-country nationals (SES), as provided for in REGULATION (EU) 2017/2226, was the result of the general postponement of European schedules regarding the start of the transition and operation of this system.

vi.

Processes for Lifting Caller Line Confidentiality

Under Article 10 of Law No. 41/2004, of August 18, amended by Law No. 46/2012, of August 29, concerning the protection of personal data and privacy in electronic communications, the CNPD issued its opinion in 2023 on 221 requests from telecommunications operators regarding the lifting of caller line confidentiality — which represents a decrease of about 19% compared to the previous year.

fig. 7 - REQUESTS FOR LIFTING CALLER LINE CONFIDENTIALITY

It should be noted that the decisions adopted by the CNPD on this matter have a significant impact as they concern the receipt of calls in which it is intended to determine the origin of unidentified calls that disturb family peace or the intimacy of private life, in which case the phone number of the calling

subscribers who have eliminated the line identification is recorded and communicated to the called subscriber.

31/51

vi.

Processes for Prior Consultation

It should also be noted that in 2023, 6 prior consultation processes were opened following the completion of an impact assessment on data protection, through which the responsible party concluded that the processing of personal data presents unacceptable risks to the rights, freedoms, and guarantees of the data subjects.

It should be noted that the GDPR changed the nature of the supervision carried out by the authority, which has now become successive, appealing to the principle of accountability, as provided in paragraph 2 of Article 5 and Article 26 of the GDPR, with prior intervention being maintained only in these cases.

Processes of this nature, as mentioned above, deserve special mention due to their high complexity.

DECISIONS

The CNPD continues to maintain the effort to recover pending procedural matters. In the year 2023, the CNPD issued 1684 decisions of different types (notably, deliberations in investigation processes and violations of personal data), corresponding to a slight increase of 2% compared to the previous year.

fig. 8 - DECISIONS ISSUED

In the context of advisory activity, 106 opinions were issued (which also includes those issued in cooperation processes), within the various types of processes in which the CNPD is called to exercise its advisory function.

i.

Opinions on Legislative Measure Proposals

In Opinion/2023/1, regarding the proposal for a Regulation of the European Parliament and of the Council establishing a common framework for market media services, referred to as the Media Freedom Regulation, the CNPD expressed its concerns regarding certain provisions. The fundamental rights involved in this project primarily pertained to freedom of expression and information, as well as to business freedom and the right to property, with privacy rights and data protection being only occasionally at stake. In this context, despite the existence of a provision prohibiting the installation of "spyware" on devices or machines used by media service providers, such installation is permitted "after assessment of the specific case, if justified by national security reasons or in the context of serious crimes."

From the CNPD's perspective, the admission of a legal provision, even if exceptional and case-specific, for the installation of spyware for discreet surveillance in the context of exercising press freedom and the right to information, with only a generic safeguard of proportionality, opens the door to legitimizing discreet surveillance of journalistic activity with a high risk of violation, not only of data protection and privacy but also of the essential content of fundamental rights to press freedom and freedom of expression, enshrined in Article 11 of the Charter of Fundamental Rights, as well as the guarantee of source confidentiality.

Here, special attention should be drawn to the Opinions regarding the expansion of video surveillance in public spaces in the city of Olhão (OPINION/2023/58) and in the city of Portimão (OPINION/2023/74), where the CNPD again addresses the capability of the system to utilize artificial intelligence for recognition through patterns, particularly warning that there are no

33/51

any underlying criteria related to these standards. For this reason, the CNPD recommended against the use of the data analytics management system due to the impossibility of verifying compliance with

the legal and constitutional conditions and limits for its use, as well as assessing its proportionality.

It also refers to OPINION/2023/54 regarding the Draft Law on the conditions for entry and residence of nationals from third countries for the purpose of highly qualified employment. The CNPD analyzed this proposal, noting that the mere update of references to the competencies previously assigned to SEF, which are now attributed to AIMA and/or UCFE, was not sufficient to regulate this matter, as a considerable set of responsibilities remained without legal provision, particularly concerning the responsibility for data processing of national parties in large-scale European information systems, such as the Schengen Information System, VIS, Eurodac, as well as the new systems that are already being implemented, such as the EES (Entry and Exit System) and ETIAS.

The OPINION/2023/57 on the Draft Law for the execution of the Regulation on combating the dissemination of terrorist content online is also highlighted. In this Opinion, the CNPD specifically addressed the need for judicial intervention for the issuance of decisions to suppress or block online content. The fact that the proposal grants the Judicial Police the ability to decide, in each specific case, what should be considered an exercise of the right to freedom of expression or what should be silenced on the grounds that it falls within the concept of terrorist content raised concerns for the CNPD, which considered it legally inadmissible for such consideration to be assigned to a criminal police body, whose legal duties include the detection, prevention, and investigation of criminal offenses, but never their repression. In this regard, the CNPD argued that decisions to suppress or block online content require judicial mediation, in the sense of obtaining prior authorization for their execution, admitting that in cases of urgency, subsequent validation could be considered.

34/51

ii.

Opinions regarding proposals for regulatory measures

Due to its importance, OPINION/2023/72 is noted, requested by the Insurance and Pension Funds Supervisory Authority, regarding a Draft Regulatory Standard aimed at regulating the use of the Legal Entity Identifier by entities subject to the supervision of the Insurance and Pension Funds Supervisory Authority. The Legal Entity Identifier consists of an alphanumeric code that will allow for clear and unique identification of entities participating in financial transactions and originated from the joint initiative of the Ministers of Finance and the Governors of the Central Banks of the G20 and the Financial Stability Board. The purpose of the Legal Entity Identifier is to provide identifying information about the entities participating in transactions, as well as their structure, seeking to clarify "who is who" and "who controls whom," constituting a universal directory aimed at promoting greater transparency and the ability to identify the parties involved in market transactions. The CNPD, in analyzing the Draft, considered that it was lacking regarding the information that was actually intended to be collected and processed, only regulating its scope of application, the obligation of ownership, and its communication and use. Therefore, it expressed the need for a more detailed specification of the information and data to be included in the Legal Entity Identifier so that the Regulatory Standard has a discriminative and definitive function and, at the same time, is truly regulatory and constitutive of a regime concerning the different situations that the Draft seeks to encompass.

iii.

Activity within the Cooperation Mechanism

It is also noteworthy the work carried out by the CNPD within the cooperation mechanism provided for in Section 1 of Chapter VII of the GDPR throughout the year 2023. The CNPD acted as the lead supervisory authority in 6 (six) cases originating from Germany (3), Austria (1), the Netherlands (1), and Sweden (1), and as an interested supervisory authority in 89 (eighty-nine) procedures under Article 56 of the GDPR for the identification of the lead supervisory authority and the

35/51

of relevant supervisory authorities, due to the establishment of the controller or processor in national territory or because it considers that, in these cases, the processing of data may substantially affect

data subjects in Portugal. Also, in the context of specific cases and under Article 60 of the GDPR, the CNPD responded to 15 (fifteen) requests for cooperation and issued 17 opinions regarding draft decisions from counterpart authorities. In the issued opinions, the CNPD made 3 (three) comments for consideration by the lead supervisory authority concerning draft decisions submitted to it, which were favorably addressed by the lead supervisory authority and incorporated into the final decision.

Under Article 61 of the GDPR, it submitted 8 (eight) requests for mutual assistance and responded to 11 (eleven) requests made by other supervisory authorities regarding ongoing processes. Regarding voluntary mutual assistance requested on an ad hoc basis, the CNPD also responded to 4 (four) requests.

iv.

Personal Data Breach

In cases of personal data breaches, 197 decisions were adopted, with the CNPD making specific recommendations in all of them for organizations to improve the level of security of their data processing, through the adoption of measures appropriate to the specific situation.

Regarding investigation processes, in 2023, the CNPD significantly increased the number of accusation drafts (574) — more than double those issued in 2022 — and 481 final decisions.

36/51

v.

Sanctions

Lastly, it is also noteworthy the sanctions applied by the CNPD, particularly the imposition of fines for violations of legislation on personal data protection. In the year 2023, the CNPD imposed 90 fines, amounting to €559,950.00, with a balance in the number of fines imposed, between the fines (42) for sending marketing in violation of legal rules (spam) — under the legislation on privacy in electronic communications (Law No. 41/2004, of August 18, in its most recent wording) — and the others (48) under the GDPR, but a clear predominance in the amount of fines for violations of the GDPR (€367,450.00) compared to those for spam.

fig. 9 - NUMBER OF FINES IMPOSED

37/51

In 2023, the CNPD also applied, in addition to monetary sanctions, seven (7) corrective measures, under Article 58, No. 2, of the GDPR. Thus, in four cases, reprimands were issued, and the remaining 3 consisted of orders to the data controller to bring the processing of personal data into compliance with the requirements of the GDPR, setting a deadline for this purpose.

fig. 10 - NUMBER OF OTHER CORRECTIVE MEASURES APPLIED, INCLUDING THE SANCTION OF REPRIMAND

In terms of specific violations of the provisions of Law No. 58/2019, the CNPD issued 253 warnings under No. 3 of Article 39, for violations of the prohibitions set forth in No. 2 and No. 4 of Article 19, both of Law No. 58/2019, of August 8.

fig. 11 - NUMBER OF WARNINGS ISSUED

38/51

4. EXTRAPROCEDURAL ACTIVITY

DIGITAL COUNTER

In the year 2023, the number of requests, especially from citizens, through the channels provided by the CNPD on its website, remained very high. In total, 7,874 requests for information and participation were received, which, despite their significant weight in the CNPD's activity, represents a decrease of about 5% compared to the previous year.

Among the reported matters, unsolicited electronic communications (spam), video surveillance in the workplace and in the context of neighborhood relations, and the guarantee of rights before the data controllers stand out.

This is a facet of the CNPD's activity of utmost practical importance for citizens, as it equips them with the necessary tools to exercise their rights before the controller or to regain control of their data.

Despite the differentiation (electronic) of the grounds in the interaction with the CNPD, there continues to be a trend of random or indistinct use by citizens of the participation and information forms. Thus, despite recording 1,819 requests for information and 6,677 participations, there are information requests that led to the opening of investigation processes, as well as participations that only received clarifications from the CNPD — it is important to emphasize that some participations, due to concerning the same conduct of the same data controller, only generated one process.

Specifically, there remains a high number of participations regarding unsolicited marketing electronic communications (commonly known as spam), totaling 1,304 participations, through the specific form for submitting complaints of this type, available on the Commission's website. This form guides the user based on their specific situation (customer/not a customer; person

39/51

singular/legal entity; gave consent or not/exercised opposition or not), allows citizens to promptly send the necessary documentation to expedite cases.

In the year 2023, reports concerning data processing through video surveillance systems were also submitted, although in slightly higher numbers than the previous year (an increase of less than 5%), with a total of 743 reports recorded.

Thus, the CNPD's option to promote interaction with citizens electronically was maintained, in accordance with the principle enshrined in the Administrative Procedure Code and in compliance with paragraph 1 of Article 17 of the Law on the Organization and Operation of the CNPD, as a means to expedite responses to their inquiries and requests. In this regard, in-person attendance continued to be exceptional, dependent on prior scheduling and requiring specific justification of its necessity. Only citizens wishing to exercise their rights regarding the Schengen Information System, due to their particular vulnerability, were attended to in person without prior appointment.

DATA PROTECTION OFFICERS

The relationship with organizations responsible for data processing has been ensured, primarily through data protection officers (DPOs), with a noted progressive increase in contacts from these officers with the CNPD.

It is emphasized that the obligation to notify the CNPD of the identification and contacts of the DPO has been materializing in a growing number of responsible parties with notified DPOs. Throughout 2023, the CNPD received an additional 699 notifications, resulting in a total of 5160 DPOs with active registration by the end of the year, which means there was an increase of 517 DPOs.

40/51

It is noteworthy that the trend of increasing notifications of DPOs was maintained.

Among the notified data protection officers, 1058 perform their duties in public organizations and 4102 in private organizations, leading to the conclusion that, during 2023, the public sector notified an additional 200 DPOs, while the private sector notified an additional 517.

fig. 12 - TOTAL NUMBER OF NOTIFIED ACTIVE DPOs

COORDINATED SUPERVISION ACTION ON DATA PROTECTION OFFICERS

In 2023, the CNPD participated in the coordinated action of data protection authorities, agreed upon within the European Data Protection Committee (EDPC), which focused on the designation and position of data protection officers (DPOs). This action, which involved the participation of 26 data

protection authorities from the European Economic Area, aimed to understand the role played by DPOs in organizations, assess whether they hold the position required by Articles 37 to 39 of the GDPR, and whether they have been provided with the necessary resources to perform their functions. A summary analysis of the national responses from DPOs, which exceeded 600, was conducted to be incorporated as a contribution to the EDPC's global report. The complete national report will be disclosed in a public session for DPOs.

41/51

5. INTERNATIONAL ACTIVITY

The activity of the CNPD has a strong European and international component, which corresponds, in fact, to obligations imposed by different legal instruments of the European Union. Thus, the CNPD is part of various European bodies, the most important of which is the European Data Protection Committee (EDPC), a body of the Union, composed of all national data protection authorities from the European Economic Area, the European Data Protection Supervisor (EDPS), and the European Commission (which has no voting rights), along with respective expert subgroups.

As mentioned above, the work currently being carried out within the Committee is particularly demanding, not only due to its guiding role for organizations regarding the interpretation and uniform application of the GDPR but also because of the mechanisms of cooperation and coherence, which require constant interactions between different national authorities, especially when data processing affects citizens located in more than one Member State. In 2023, the EDPC continued with intense activity, holding monthly meetings, with its work highlighted by the continuous issuance of guidelines, the preparation of various opinions under Article 64 of the GDPR, and the issuance of binding decisions within the framework of dispute resolution under Article 65 or the urgent procedure under Article 66 of the GDPR. This year, the CNPD actively participated in the work of the EDPC, not only in the monthly meetings of the EDPC but also in the various expert groups that the CNPD is part of and some task forces, such as the one related to the imposition of fines (Task Force Fining) and the new task force to address issues raised by generative artificial intelligence.

Also within the framework of the EDPC, but functioning autonomously, there is the Coordinated Supervision Committee (CSC), which is chaired by the representative of the CNPD, re-elected to the position in November 2022. The CNPD has been conducting intense work at this Committee, which includes all Data Protection Authorities of the Union and four States outside the EU but belonging to the Schengen Area (Iceland, Liechtenstein, Norway, and Switzerland) as well as the European Data Protection Supervisor (EDPS). The CSC currently ensures the coordinated supervision of three European information systems in the area of

42/51

police and judicial cooperation in criminal matters (Eurojust, Europol, and EPPO – European Public Prosecutor Office), the Schengen Information System (SIS), in the area of borders, asylum, and migration, and finally, the Internal Market Information System (IMI). The SIS has been subject to coordinated supervision by the CSC since March 7, 2023, with the implementation of the new system, which has enhanced functionalities and a new legal framework.

Coordinated supervision combines the national plan with the European plan, ensuring that the national components of European systems and the data transmissions from Member States to their respective central systems comply with the data protection rules specifically established in the respective legal instruments regulating the operation of these systems, in addition to the standards set forth in the general data protection regime provided, as applicable, in the GDPR or in Directive (EU) 2016/680 and the national laws that transpose them. Thus, both the EDPS for the central system and the national data protection authorities for their Member State, each within their competencies, ensure that European information systems are controlled in a global and coherent manner.

It is also anticipated that in the near future, despite the delays in the operational start-up that have been observed, two more large-scale European information systems will come under the coordinated

supervision of the CSC. These are the Entry and Exit System (EES), in October 2024, and the European Travel Information and Authorization System (ETIAS), in the spring of 2025. In the coming years, it is also expected that the Visa Information System (VIS) and the EURODAC System for asylum seekers, as well as the Customs Information System (CIS), with the updating of their respective legal frameworks, as well as the new criminal records system for nationals of third countries (ECRIS-TCN) will transition to the jurisdiction of the CSC. Meanwhile, regarding coordinated supervision, the participation of the CNPD in the VIS, Eurodac, and CIS groups is highlighted, which remain operational until the application of the new legal framework and the transition to the CSC.

43/51

It is also noted that the CNPD participates in the work carried out by the Authority for European Political Parties and European Political Foundations (APPF), with the aim of preventing and combating threats of interference in the elections for the European Parliament in 2024.

At the international level, the participation of the CNPD in the Global Privacy Assembly (GPA) is also highlighted, both in its Annual Conference, which took place from October 15 to 20, 2023, organized by the Bermuda Data Protection Authority, and through the working groups established that operate throughout the year, such as the Digital Education Working Group (DEWG) that the CNPD has been part of for several years.

Also at the international level, it is worth mentioning the participation of the CNPD in the Ibero-American Data Protection Network (RIPD), of which it is a founding member, and which celebrated its 20th anniversary in 2023, having promoted a commemorative Meeting in Antigua, Guatemala, symbolically held in the country where the Network was formally created in 2003, during the II Ibero-American Meeting of Data Protection Authorities.

In 2023, as a sign of the vitality of the RIPD, four working groups were created, open to the participation of civil society, to discuss current issues such as artificial intelligence, neurodata, digital violence, or biometric identity. The CNPD participates in the activities of all these newly created groups.

In terms of international cooperation, it is also important to highlight the continuation of regular contacts with data protection authorities from Portuguese-speaking countries, especially with the National Data Protection Agency of São Tomé and Príncipe (ANPDP), the Data Protection Agency of Angola (APD), the National Data Protection Authority of Brazil (ANPD), and the National Data Protection Commission of Cape Verde (CNPDC).

44/51

In this context, the CNPD participated in a panel on personal data protection at the International Forum on Information and Communication Technologies (ANGOTIC 2023), which took place in Luanda in June 2023. The presentation was focused on the theme “Privacy and Data Protection – Human Vulnerability.”

Similarly, it was present at an event that took place in the city of São Tomé in November 2023, organized by the ANPDP, to discuss the theme “Privacy in the Digital Age,” having made an intervention in the panel focused on the theme “Digital Ecosystem and Personal Data Protection.”

Finally, the realization of the Iberian Meeting between the CNPD and the Spanish Data Protection Agency (AEPD) in Madrid in November 2023 is highlighted, thus resuming the Iberian Meetings of Data Protection Authorities, with the CNPD also participating in the celebration of the 30th anniversary of the Spanish Data Protection Agency (AEPD) in December 2023.

45/51

6. INSTITUTIONAL COOPERATION ACTIVITY

The CNPD ensures institutional cooperation arising from legal obligation, as is the case with its participation in the Commission for Access to Administrative Documents, in which it has one member by virtue of its role.

Furthermore, in 2023, the CNPD maintained, similar to previous years, an active cooperation and ongoing dialogue with public entities whose areas of action converge with the intervention domain of the CNPD.

Notably, cooperation that began in 2022 with the National Institute of Administration, I.P.—INA, focuses both on providing training in data protection, especially aimed at managers and employees of the Public Administration, and on raising citizens' awareness of their fundamental rights in the context of personal data processing, through the sharing of content and communication channels. In June 2023, the CNPD signed a Cooperation Protocol with the INA, formalizing the long-standing cooperation existing between the two entities.

It is also important to highlight the cooperation that has been maintained with the Directorate-General for Consumers, within the framework of the consumer protection cooperation network, as well as regarding the amendments to the European regulation on the matter and the drafting of the respective national implementing legislation. The CNPD participates in this cooperation system through its competencies in the regime of unsolicited electronic communications.

3 Law No. 41/2004, of August 18, amended by Law No. 46/2012, of August 29.

46/51

It is also emphasized the cooperation with the National Cybersecurity Center (CNCS). In this context, the participation of the CNPD, in October 2023, in the National Cybersecurity Exercise is noteworthy, which in 2023 was dedicated to Local Public Administration and aimed to analyze the maturity level of municipalities, as well as to test their incident response capacity and proficiency in applying the Legal Framework for Cybersecurity.

A special mention must also be made for the cooperation with the Portuguese Institute of Quality, I.P., as the author of a certification scheme (Digital Maturity - Digital Seal for Personal Data Protection - DNP TS 4577-2), in compliance with the provisions of Article 42 of the GDPR and paragraph 4 of Article 14 of Law No. 58/2019.

47/51

7. ORGANIZATION AND OPERATION

Regarding the different domains of the organization and operation of the CNPD, following the approval by the CNPD, in July 2023, of the Multiannual Activity Plan of the CNPD for the triennium 2024-2026, aimed at implementing the measures of the 3rd strategic objective (“Reinforce and strengthen the regulation of personal data in Portugal, through collaborative mechanisms and cooperation with relevant national and international entities in addressing the increase of knowledge and capacity for action, promoting a culture of dialogue and transparency, sharing information and knowledge, aiming at promoting the efficiency of means and resources essential for the pursuit of the activities of the National Data Protection Commission, with respect for its independence, autonomy, and impartiality”), the identification of needs for the reorganization of the CNPD was initiated, as well as the proposal for legislative amendment regarding its structure and mode of operation.

SYSTEMS AND INFRASTRUCTURES

Special attention is deserved for the actions carried out by the services of the CNPD — by the IT Unit — to strengthen the infrastructure in terms of security and authentication, including at the logical level (configurations and applications).

In fact, despite the constant attention given by the services to their technological infrastructure, there was a noticeable increase in 2023 due to the successful acquisition of the necessary resources to strengthen the security perimeter and the redundancy of the systems. In this context, the firewall equipment was replaced, strengthening the infrastructure against external and internal attacks, and ensuring updated protection with access to the latest technologies for threat identification and blocking.

48/51

In this regard, the monitoring and alert platform used has also been upgraded to a more advanced one with enhanced capabilities, allowing for real-time responses. There has also been a strengthening of authentication mechanisms, with a particular focus on users with elevated privileges.

Additionally, the restructuring of data on servers with greater exposure to the Internet has been carried out, creating a segregated layer dedicated to personal data, thus achieving lower external exposure and, consequently, greater protection against unauthorized access.

The acquisitions made have allowed for the strengthening of the internal computing and storage infrastructure of the CNPD, as well as the updating, on compatible equipment, to Microsoft Windows 11 Operating Systems and Microsoft Office 2019, keeping the work environments aligned with the latest technologies and security standards.

HUMAN RESOURCES

In the year 2023, the CNPD was unable to reinforce the necessary human resources. Although it managed to hire two people for the administrative area through mobility instruments, the fact remains that CNPD employees continue to be manifestly insufficient to meet the legal mandate of executing the tasks necessary to guarantee citizens' rights.

It is reiterated once again that the mobility mechanism has proven to be inadequate to compensate for the structural lack of human resources at the CNPD, not only because the specialized skills required for the exercise of functions are hardly found in the public administration in a mobility situation, but also because this instrument is, by its nature, a potential source of instability for its personnel. It was in this context, and through the mobility mechanism, that the departure of a worker from the information technology area occurred.

49/51

As has been stated since 2019, the competencies resulting from the GDPR, particularly regarding cooperation and participation in the work of the EDPB, have significantly increased the work of the Commission at the European and international levels, compounded by the ever-increasing technological complexity that personal data processing presents and the analytical needs arising from this within the scope of the CNPD's mission.

All of this demands qualified human resources. To address this new reality, the Data Protection Authorities of the European Economic Area have been registering a notable increase in their operational conditions, both through significant budgetary enhancements and through substantial increases in their human resources.

Indeed, the activity developed by the CNPD under the new legal framework for data protection depends on greater knowledge, since neither the functions of prior guidance (generic or regarding specific data protection impact assessments) nor the functions of successive supervision and correction of data processing can be reconciled with solutions for automating decision-making processes.

In other words, unlike the authorization activity for which, albeit with limits, the CNPD managed to adopt agile decision-making processes through automation techniques until 2018, the current activity of the CNPD, with very few exceptions (which it has sought to explore), depends on the concrete technical and legal analysis of data processing, as is evident in the impact assessments submitted for prior consultation and in relation to the defenses presented following the issuance of draft accusations. The impossibility of automating decision-making processes makes the reinforcement of human resources, with qualified and experienced personnel, urgent.

The CNPD ended the year 2023 with 29 employees.

50/51

Of the total number of employees, it is noteworthy that the majority are aged 50 or older, and that 75.86% are concentrated in the age group of 45 to 64 years.

Within the same group, it is highlighted that, in 2022, 65.52% of the employees hold a higher education degree. Regarding gender representation, 62.07% of the employees are female.

With respect to the composition of the Commission, in the year 2023, there was a change in the composition of the collegiate body, as the President of the CNPD, Professor Doctor Paula Meira Lourenço, and a Member, Master José Vegar Velho, were elected by the Assembly of the Republic, and they began their 5-year term on May 11, 2023.

The predominant area of academic training continues to be legal, with only one member coming from the field of mathematical sciences. In terms of gender, there is a certain balance, with a slight predominance of females. Despite the change in composition, the average age of the Commission members remains the same as in the previous composition (57 years). Furthermore, regarding educational qualifications, one member holds a doctorate, three have a master's degree or equivalent, and the others are graduates.

It is also noted that until around December 2023, the data protection officer of the CNPD performed the function under a service provision regime, and at the end of the year, it was decided to appoint a staff member for this role.

As for the sole auditor, the CNPD continues to await their appointment by the Assembly of the Republic, pursuant to Article 19-A of Law No. 43/2004, of August 18, in its current wording.
51/51

a) Training

The Commission continued, in 2023, to ensure the updating of knowledge of its employees. Thus, maintaining its commitment to internal training, it deemed it necessary to review and deepen knowledge of the GDPR, for which, in March 2023, it conducted 3 classes, totaling 7 hours and 30 minutes, where the general principles of data protection and the grounds for the lawfulness of processing, the main obligations of the controller, and international data flows were addressed.

At the same time, it ensured attendance at specialized training courses in the area of administrative procedure and process, as well as preparation for the new Digital Services Regulation, which contains matters that fall under the competence of the CNPD.

b) Budget

Regarding the CNPD's budget, in 2023, own revenues continue to have little weight, as decisions to impose fines of more significant amounts continue to generally be subject to judicial appeal, which naturally delays any potential revenue entry.

The initial budget was €2,976,534.00, with €107,344.00 from Own Revenues (OR) and the remainder from the Budget of the Assembly of the Republic (OAR).

As for the budget executed in 2023, total revenue reached €9,288,467.12, divided into €67,719.40 from OR, €2,490,000.00 from funds from the OAR, €65,711.89 from the balance of the OAR from 2021, and €6,665,035.83 relating to the balance from previous years.

The total expenditure was €8,940,900.34, net of reimbursements.